$50,000,000 of equity junior to the first mortgage. This results in a system value of 150 millions, or 120 millions above the equipment-trust issues. In turn, this means a value of 72 millions for the general mortgage, or 52% of face value, as against a market price of 25.

This concise calculation is subject to the following questions and qualifications:

1. May the 8 million average net earnings properly be used as a measure of future net? This figure is 2 millions more than was earned in 1938, but it is about $1,400,000 less than the results for 1939. Estimates made in January 1938 of "normal earnings" for the future set them as high as $15,800,000. The results of the past decade have varied between 30 millions in 1929 and less than 1 million in 1932. The maintenance ratio in 1934–1938 was well above the average of other roads. On the whole, therefore, the $8,000,000 estimate must be considered conservative, although the future of railroad earnings is anything but certain.

2. Some of the value ascribed to the system must be allocated to junior issues and thus deducted from the share of the general mortgage. Recent reorganization technique indicates that this diversion of value will be relatively small.

3. More important is the question whether 8 millions of earnings will justify 150 millions of market value in the manner we have calculated. A crucial point here is the matter of future capital expenditures which may have to be financed out of earnings, thus reducing the amount distributable to security holders. Various reorganization plans have suggested that between 2½ and 5 millions be used annually for this purpose, after providing 4 millions for senior fixed charges. If this policy is followed, it is unlikely that 8 millions of total earnings will result in a value of 50 millions for the junior securities, since little if anything could be paid out in interest thereon.

Summarizing the foregoing, our appraisal may be found too liberal if large provision for capital charges is necessary; on the other hand, it may well prove to have been based on an unduly low estimate of future earnings.

Method B. Derived from a Specific Reorganization Plan. For this purpose we shall use the plan of readjustment proposed in November 1938 by the I.C.C. Examiner, and seek to evaluate the new securities allocated to the General Mortgage bonds. The plan provides $3,865,000 of fixed charges, based on present equipment trusts plus 77 millions of new first 3½s. Following is a deduction of between 2½ and 5 millions (as determined by the directors) for capital charges; then $3,600,000 income-bond interest on Series *A* 4½s; then $1,100,000 income-bond interest on Series *B* 4½s; after which comes a sinking fund and then the new preferred and common.